5.3 Fiscal Policy and Stimulus

Video: Fiscal Policy and Stimulus (Crash Course Economics)

The Business Cycle

_____ is the maximum sustainable amount the economy can produce in the long run.

Gap	Output	What Happens
	Below potential	Workers are unemployed and factories sit unused
	Above potential	Unemployment is very low, but higher costs lead to more inflation

From the mid-1980s, the economy was steady in a period called the _____, until the Great Recession after the 2008 financial crisis.

What Is Fiscal Policy?

Fiscal policy means changing government _____ or _____ to speed up or slow down the economy. In the U.S., that is the job of Congress and the President.

_____ fiscal policy (more spending, tax cuts) is used in a recession. A tax cut increases _____, which boosts consumer spending.

Example: the 2009 American Recovery and Reinvestment Act was a _____ bill that added more than 800 billion dollars to the economy.

_____ fiscal policy (cutting spending, raising taxes) is used in an inflationary gap. It is rare because it is a hard sell for politicians.

The Big Debate

During the early Great Depression, many believed the economy would correct itself as wages and resource prices fell.

British economist _____ argued government spending can make up for a drop in consumer spending, so there is no reason to wait. He said, "In the long run, we are all dead."

To stimulate the economy, the government must _____ spend, which means borrowing money and creating debt.

Critics argue deficit spending causes _____: government borrowing raises interest rates, making it harder for businesses to borrow. Keynesians argue that when the economy is below capacity, government spending puts idle resources back to work.

Comparing results: some economists point out that the U.S. used stimulus while many European countries chose _____ (raising taxes and cutting spending to reduce debt). Economists still debate how much each choice mattered.

The Multiplier Effect

The _____ means one dollar of government spending gets re-spent again and again, creating more total spending.

When the economy is booming, the multiplier seems close to _____.
In a recession with lots of unemployed workers, the multiplier is around _____.
Tax cuts put money in people's hands quickly, but some may be saved. _____ projects have strong multipliers but may take years to complete.

Think About It

If the government sent your family a check during a recession, would your family more likely spend it or save it? How does that connect to the multiplier? _____